

Practice Quiz: Strategic Modeling — Module 05:

Action

Name: ____ Date: ____

Part A: Multiple Choice

1. Amazon's "flywheel" is an example of: A) A shipping process B) A strategic commitment using irreversible infrastructure investment that creates self-reinforcing competitive advantage C) A cost-cutting initiative D) An advertising campaign
 2. **First-mover advantage** is strongest when: A) Markets are mature B) Switching costs are high and network effects are strong C) Products are commodities D) Markets are well-understood
 3. **Strategic retreat** (exiting a market) is: A) Always a sign of failure B) Sometimes the best strategic move — redirecting resources from high-free-energy positions to more favorable ones C) Illegal D) Easy to decide
 4. "Burning the boats" works strategically because: A) It eliminates naval competition B) It credibly signals commitment, changing competitors' inference about your likely behavior C) It's dramatic D) It reduces costs
 5. **Market creation** (Blue Ocean Strategy) targets: A) Existing customers B) Uncontested market space where competition is irrelevant C) The cheapest market D) Competitor customers only
 6. **Competitive dynamics** describe: A) Static positions B) How firms' actions and reactions shape market evolution over time C) Team dynamics D) Market regulations
 7. The exploration-exploitation balance should shift toward exploration when: A) The industry is mature and stable B) The industry is disrupted and current models may be obsolete C) Profits are strong D) Markets are efficient
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Part B: Short Analysis

1. Your competitor just announced a \$2B factory in your key market — a major strategic commitment. Analyze what this signals about their intentions and design your strategic response.
2. Propose a "market creation" strategy for an organization stuck in a crowded, commoditizing market. How would you find Blue Ocean space? What experiments would you run?
3. Design a strategic action portfolio for a \$500M company: allocate resources across competitive attack, market creation, positioning, and exploration. Justify your allocation.